



WHAT IS BMIP?

- A government-backed marine insurance pool to ensure uninterrupted risk coverage for Indian flagged vessels
- Protection against four critical segments—Hull & machinery, Cargo, War Risk, and Protection & Indemnity (P&I)
- A back-up when global insurers withdraw or restrict cover

WHY INDIA NEEDS A DOMESTIC POOL?

- Maritime sector handles 70% of trade by volume, insurance stability is essential for national economic security.
- Since the start of the West Asia conflict, war-risk premiums in the Persian Gulf spiked from 0.025% to as high as 0.50%

COVERAGE STRUCTURE: A THREE-LAYER SAFETY NET

Pool Layer: Primary Underwriting

- Indian insurers contribute ₹930 crore combined capacity
- Policies issued by pool members
- Cover routine and medium sized claims

Risk Sharing: Reinsurance

- Risks shared proportionally among insurers
- Managed centrally by GIC Re

Sovereign Guarantee: Government Back-up

- ₹12,980 crore sovereign guarantee
- Activated only after pool & reinsurance layers are exhausted

KEY GAPS IN POLICY

- A very large crude carrier carrying two million barrels of oil at \$100/barrel equals ₹1,900 crore, exceeding the entire pool's capacity, leaving no room for hull and P&I
- The underwriting capacity of ₹930 crore doesn't match the massive financial exposure of modern shipping

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this is an operational mechanism, not merely a policy announcement,” says Bhatikar of Phoenix Legal.

One problem: Indian shipping tonnage is an insignificant 0.6% of world tonnage.

“An Indian P&I entity is not commercially viable unless there is persistent and substantial

growth in Indian flagged tonnage,” says Devli.

NOT A REPLACEMENT

In the near term, BMIP will function as a strategic complement to existing international coverage rather than a replacement. This is not so much a reflection of a short-

coming in the pool's design but a function of how global maritime commerce operates, experts say.

Aliasgar Hajee, CEO of Shipbuilding and Ship Management at SHM Group, says that at this stage, most shipowners would evaluate BMIP as part of a broader risk management strategy rather than